ACF · Costing and standard-cost variances — Question Patterns and Methods

Based on 35 past-exam parts, 2020–2025, their marking keys and the examiners' reports.

First: where marks are lost most

- Workings are not shown or checked. The short-answer reports say many candidates gave no clear workings and did not attend to their calculations. The keys award marks per step (quantity, price, rate, base, division), so a bare final figure loses most of the mark. This hits Patterns 4 to 8 and 10 to 13 hardest.
- Explanations are weak. The reports say the theoretical parts were completed poorly and that some candidates did not understand why the calculations are needed. Patterns 1, 2, 3 and 9 are mostly explanation marks.
- Facts are stated instead of applied. In the extended-answer questions candidates gave general definitions rather than tying them to the stimulus material. Patterns 1, 2 and 9 lose marks this way.
- Wrong unit or base. The keys check the denominator and unit: minutes converted to hours, annual rather than monthly activity, units rather than batches, kilograms per bag. Patterns 4, 5, 6, 7 and 8 lose marks on these conversions and divisors.
- Variance direction is missing or reversed. Keys award the favourable or unfavourable label as a separate criterion. Patterns 10 to 13 lose the label or flip it when the actual figure is higher than the standard.

Pattern 1: Classify direct, indirect, product and period costs

How often: 3/6 papers · 3.7 marks when it appears · 0.8% of a paper.

Recognise it: a question asks you to classify a cost by its link to a cost object (direct or indirect), or by its function (product or period). Multiple-choice stems give a business example, such as factory electricity, packaging, manager salary or office depreciation, and ask for the pair of labels. Explain-type parts ask you to classify costs with an example for each, or to explain the nature of overhead costs.

Method

1. Name the cost object first: the product, batch or unit (for direct or indirect), or the business function (for product or period).
2. Test traceability: can the cost be traced directly to the cost object (direct), or must it be shared or allocated (indirect)?
3. Test function: is the cost part of making the product and carried into inventory (product), or is it an administrative or selling cost expensed in the period (period)?
4. For multiple choice, check both labels. The answer is a pair, so an option that is right on one label only is wrong.
5. For explain parts, write each classification as its own paragraph: the definition, then an example taken from the stem, then one sentence on why it fits.
6. Use the stem's business example, not a generic one.

What the key rewards: multiple choice gives the letter only. For explain parts, each classification is awarded when it is explained with an example, and the key treats one as a three-mark explanation. For the overhead question, the award is a three-mark explanation of the nature of overhead cost concepts.

Common errors: putting office costs in the product column, as the distractors of 2022 MC Q10 show; giving a classification with no example, which the 2021 EA Q23(a) awards do not credit; stating facts instead of tying them to the stimulus material, as the extended-answer report notes.

Past questions: 2022 MC Q10, 2021 EA Q23(a), 2020 MC Q3, 2020 SA Q18(c)

Pattern 2: Explain fixed and variable cost behaviour

How often: 3/6 papers · 2.0 marks when it appears · 0.4% of a paper.

Recognise it: wording about how costs behave as activity changes, such as "behaviour of variable costs", "costs classified by behaviour", or how a change in costs has moved the break-even point. Often part of a longer extended-answer scenario.

Method

1. Identify the activity measure in the stem: units produced, units sold or hours.
2. Describe variable cost: the total changes in proportion to activity, so the cost per unit stays the same.
3. Describe fixed cost: the total stays the same within the relevant range of activity, so the cost per unit falls as activity rises.
4. Link the behaviour to the outcome asked: for example, higher fixed costs raise the break-even sales level.
5. Where the stem gives figures, show the direction with them, not only with words.

What the key rewards: one mark for each correct description of how variable costs move with activity; one for each correct description of how fixed costs behave as activity changes. The part is worth seven marks, so the break-even link asked in the stem must also be explained.

Common errors: describing variable costs as changing over time or between periods rather than with activity; describing fixed costs as changing per unit; leaving out the break-even link. The reports say the extended answer on this scenario was not completed to a high standard, and many candidates dropped later parts.

Past questions: 2025 MC Q1, 2024 MC Q1, 2023 EA Q21(a)

Pattern 3: Distinguish past and future costs

How often: 1/6 papers · 3.0 marks when it appears · 0.2% of a paper.

Recognise it: a question asks you to classify costs by time orientation, or to explain past and future costs.

Method

1. Define a past cost: a cost already incurred and recorded.
2. Define a future cost: a cost expected to be incurred, used for planning and budgeting.
3. Give the purpose of a future cost: it supports planning and budgeting for later decisions.
4. Cover both halves in one explanation.

What the key rewards: a single three-mark explanation covering both halves: past costs are already incurred, and future costs support planning and budgeting for later decisions.

Common errors: describing only one of the two time orientations, which loses the single three-mark award that covers both halves.

Past questions: 2024 SA Q18(d)

Pattern 4: Calculate direct materials cost

How often: 6/6 papers · 3.5 marks when it appears · 1.5% of a paper.

Recognise it: a standard or actual cost question with a production basis (a batch of N units, or one unit), material quantities in metres, kilograms or cutting units, a price per unit of material, and sometimes sundry, packaging, or sewing and assembly materials.

Method

1. Write down the production basis: units in the batch, or units per year or month. Note any rounding the stem asks for.
2. Take the material quantity per unit (metres, kilograms, or cutting units) from the stem.
3. Multiply quantity by price per unit of material to get material cost for the whole batch or output.
4. Add any other direct materials the stem names (sundry materials, packaging, sewing and assembly

materials).

5. If a per-unit figure is asked, divide the batch cost by the batch units, and round to the stem's required places.
6. Show each step on its own line with its units.

What the key rewards: the production quantity used in material cost; the material quantity per unit; the material price applied per unit of quantity. Other awards on longer questions are the extra materials added (sundry, packaging, sewing and assembly) and the division that gives the per-batch or per-unit figure.

Common errors: using batches where units are needed, or the reverse; leaving out sundry or packaging materials; not dividing to give the per-unit cost; rounding too early when the stem asks for whole dollars or two decimal places; giving no workings, which the reports single out.

Past questions: 2025 SA Q19(a), 2024 SA Q18(b), 2023 SA Q18(a), 2022 SA Q17(a), 2021 SA Q16(a), 2020 SA Q18(a)

Pattern 5: Calculate direct labour cost

How often: 6/6 papers · 3.2 marks when it appears · 1.4% of a paper.

Recognise it: a cost question with labour hours or minutes per unit or batch, an hourly rate (sometimes one rate per department), and a production basis. Often the stem gives a total labour cost and asks you to work back to hours.

Method

1. Convert time to hours before multiplying by a rate: minutes divided by 60.
2. Take labour hours per unit or per batch from the stem. If only a total labour cost and a rate are given, hours = cost ÷ rate.
3. Multiply hours by the hourly rate for that department or activity.
4. Add department costs if the stem has more than one (for example, cutting and sewing and assembly).
5. Divide by the output to get the per-unit or per-batch cost if asked.
6. Check the result: hours × rate should give the labour cost.

What the key rewards: the number of units or batches the labour is applied to; the labour hours per unit (or the total hours derived from the labour cost); the hourly rate applied; the conversion of minutes to hours where the stem gives minutes.

Common errors: using minutes as if they were hours; applying the wrong department's rate; mixing up batch and unit labour.

Past questions: 2025 SA Q19(a), 2024 SA Q18(b), 2023 SA Q18(a), 2022 SA Q17(a), 2021 SA Q16(b), 2020 SA Q18(a)

Pattern 6: Determine manufacturing overhead and recovery rate

How often: 6/6 papers · 3.3 marks when it appears · 1.4% of a paper.

Recognise it: a request for a predetermined overhead recovery rate, or for total manufacturing overhead. The stem lists estimated overheads and an allocation base such as labour hours or machine hours. Current tasks use the rate at normal capacity.

Method

1. List every manufacturing overhead in the stem: indirect materials, production-equipment depreciation, factory rent, utilities, cleaning, factory supervision and department overheads.
2. Exclude costs that are not manufacturing overheads, such as selling or administrative costs.
3. Identify the allocation base and its total for the period. If the stem gives monthly activity, multiply to get the annual base.
4. Recovery rate = total estimated manufacturing overhead ÷ total allocation base.
5. State the rate with its unit (for example, dollars per hour), rounded as the stem asks.

What the key rewards: each manufacturing overhead item included in the total; the allocation-base hours derived (units × hours per unit × months where relevant); the division of overheads by base to give the rate.

Common errors: leaving out an overhead item the stem gives; including a non-manufacturing cost; forgetting to annualise monthly activity; using a base that differs from the one the question specifies (the key follows the base stated in the question); not stating the rate's unit.

Past questions: 2025 SA Q19(a), 2024 SA Q18(a), 2023 SA Q18(a), 2022 SA Q17(a), 2021 SA Q16(c), 2020 SA Q18(a)

Pattern 7: Apply overhead to a batch or unit

How often: 6/6 papers · 1.5 marks when it appears · 0.7% of a paper.

Recognise it: the question asks for the overhead applied to each batch or unit, using the recovery rate and the job's machine hours or labour hours.

Method

1. Take the recovery rate and its unit (for example, dollars per machine hour), from the stem or from Pattern 6.
2. Work out the job's activity in the same unit as the rate: hours per unit × units per batch, or machine hours per batch.
3. Overhead applied = rate × activity, for the batch.
4. Divide by the batch units if a per-unit figure is asked.
5. Check the units match: hours in the rate must match hours in the activity.

What the key rewards: the machine or labour hours per unit (derived from total hours ÷ units where needed); the batch activity (units × hours per unit); the overhead applied using the rate, per batch or per unit.

Common errors: applying hours per unit where the batch total is needed, or the reverse; converting minutes incorrectly; dividing by batches instead of units; using a rate in different units from the activity.

Past questions: 2025 SA Q19(a), 2024 SA Q18(b), 2023 SA Q18(a), 2022 SA Q17(a), 2021 SA Q16(c), 2020 SA Q18(a)

Pattern 8: Calculate batch and unit manufacturing cost

How often: 5/6 papers · 2.4 marks when it appears · 0.9% of a paper.

Recognise it: a request for the total cost of a batch or one unit, combining materials, labour and overhead, and then dividing by the batch or annual output.

Method

1. Take the direct materials cost per batch (Pattern 4), the direct labour cost per batch (Pattern 5) and the overhead applied per batch (Pattern 7).
2. Add the three to give the total manufacturing cost per batch.
3. Divide by the units in the batch, or by the annual units if the question asks for an annual unit cost.
4. Round at the end to the places the stem asks for, not in the middle.
5. Show the sum and the divisor on separate lines.

What the key rewards: each of the three cost elements per batch, one mark each; then the batch total divided by the unit count to give the cost per unit. Where the stem gives monthly activity, the key expects the annual count (for example, 12 months × 300 units).

Common errors: dividing by batches instead of units; using monthly units where annual units are needed; leaving out one of the three cost elements; rounding intermediate figures.

Past questions: 2024 SA Q18(b), 2023 SA Q18(a), 2022 SA Q17(a), 2021 SA Q16(d), 2020 SA Q18(a)

Pattern 9: Use and explain cost mark-up pricing

How often: 4/6 papers · 2.8 marks when it appears · 0.8% of a paper.

Recognise it: a request for a selling price from a unit cost and a mark-up percentage on cost, or an explanation of what mark-up is with an example. Multiple choice may ask for the name of the difference between unit cost and selling price.

Method

1. Take the unit cost from Pattern 8 (the per-unit figure, not the batch total).
2. Mark-up amount = unit cost × mark-up percentage.
3. Selling price = unit cost × (1 + mark-up percentage). For example, $33.52 × 1.30 gives $43.58 to the cent.
4. For an explain part, define mark-up as the amount added to cost to set the selling price. Give a numerical example with the cost, the percentage and the price.
5. Round to cents.

What the key rewards: the correct per-unit cost used; the mark-up calculated on cost; the selling price as cost plus mark-up. For explain parts, the concept with an example. For multiple choice, the name of the difference (mark-up) only.

Common errors: applying the mark-up percentage to the selling price; using a total batch cost in place of the unit cost; giving a definition without an example; the reports say explanations often did not relate to the stimulus material.

Past questions: 2025 MC Q5, 2023 SA Q18(b), 2022 SA Q17(b), 2021 EA Q22(a)

Pattern 10: Calculate materials price variance

How often: 4/6 papers · 2.5 marks when it appears · 0.7% of a paper.

Recognise it: a variance question that compares actual and standard material prices (per metre, per kilogram) and asks for the variance in dollars with a favourable or unfavourable label.

Method

1. Write down the actual price, the standard price and the actual quantity used or purchased.
2. Find the price difference per unit: actual price − standard price.
3. Materials price variance = price difference × actual quantity.
4. Label it: if the actual price is above standard, it is unfavourable (U); if below, favourable (F).
5. State the answer in dollars with F or U.

What the key rewards: the actual price; the standard price; the actual quantity; the final dollar amount with its direction.

Common errors: using the standard quantity instead of the actual quantity; reversing the direction (a higher price is unfavourable); leaving off the F or U label; mixing up per batch and total figures.

Past questions: 2025 SA Q19(bi), 2023 MC Q5, 2022 SA Q17(ci), 2021 MC Q12

Pattern 11: Calculate materials usage variance

How often: 3/6 papers · 3.3 marks when it appears · 0.7% of a paper.

Recognise it: a variance question that compares actual material used with the standard quantity allowed for actual output, at the standard price.

Method

1. Find the standard quantity allowed: standard quantity per unit × actual output (units produced, not units sold).
2. Take the actual quantity used from the stem.
3. Usage variance = (actual quantity − standard quantity allowed) × standard price.
4. Using more than the standard allowance is unfavourable (U); using less is favourable (F).

5. State the answer in dollars with F or U.

What the key rewards: the actual quantity used; the standard quantity per unit; the actual output used to get the standard allowance; the standard price; the final dollar amount with its direction.

Common errors: using the actual price instead of the standard price; using the actual output in place of the standard allowance, or the other way round; reversing the direction; leaving off the label.

Past questions: 2025 SA Q19(bii), 2023 MC Q6, 2022 SA Q17(cii)

Pattern 12: Calculate labour rate variance

How often: 2/6 papers · 4.0 marks when it appears · 0.6% of a paper.

Recognise it: a variance question comparing actual and standard hourly labour rates, using actual hours.

Method

1. Write down the actual rate, the standard rate and the actual hours worked.
2. Find the rate difference per hour: actual rate − standard rate.
3. Labour rate variance = rate difference × actual hours.
4. A higher actual rate is unfavourable (U); a lower one is favourable (F).
5. State the answer in dollars with F or U.

What the key rewards: the actual rate; the standard rate; the actual hours; the final dollar amount with its direction.

Common errors: using standard hours instead of actual hours; reversing the direction; using a per-unit figure where the total is needed; leaving off the label.

Past questions: 2025 SA Q19(biii), 2022 SA Q17(ciii)

Pattern 13: Calculate labour efficiency variance

How often: 4/6 papers · 4.5 marks when it appears · 1.3% of a paper.

Recognise it: a variance question comparing actual labour hours with the standard hours allowed for actual output, at the standard rate. The stem may give only a standard labour cost, from which the allowed hours must be derived.

Method

1. Find the standard hours allowed: standard hours per unit × actual output. If only a standard labour cost and rate are given, allowed hours = standard labour cost ÷ standard rate.
2. Take the actual hours worked from the stem.
3. Efficiency variance = (actual hours − standard hours allowed) × standard rate.
4. More hours than allowed is unfavourable (U); fewer is favourable (F).
5. For a per-item question, use the per-item standard and actual hours directly.
6. State the answer in dollars with F or U.

What the key rewards: the actual hours; the standard hours allowed (or the per-unit standard time, with the output); the standard rate applied; the final dollar amount with its direction. Where allowed hours are derived from a standard cost, the key awards the derivation.

Common errors: using actual hours as the allowed hours; reversing the direction; applying the actual rate instead of the standard rate; not deriving allowed hours from the standard cost when the stem gives only that.

Past questions: 2025 SA Q19(biv), 2024 SA Q18(c), 2022 SA Q17(civ), 2020 SA Q18(b)
